

Research Briefing | Eurozone

ECB is in no hurry to change policy in either direction

- The ECB continues to assess policy to be in a good place. The council took comfort in recent solid growth data, while largely dismissing January inflation falling more than expected and facing downside from a stronger euro. So while risks remain tilted towards more easing, it will require a more significant undershoot to act and we stick to our view of no rate cuts this year.
- The expected growth lift from rising public infrastructure investment and defence spending as well as from past rate cuts is a key factor underpinning the ECB's relative optimism on growth. But much of the available data sends more cautious signals. A weak near-term outlook for investment is a key differentiator of our and the ECB's forecast, but this is unlikely to be enough to trigger a policy pivot.
- We agree with the ECB that it is too early to read too much into the sharp drop in core inflation at the start of the year. Most of the alternative inflation signals are more aligned with a target-consistent price outlook. But should underlying inflation slow more than we think and upward pressure on the euro resume, there is still a chance the ECB could ease policy.

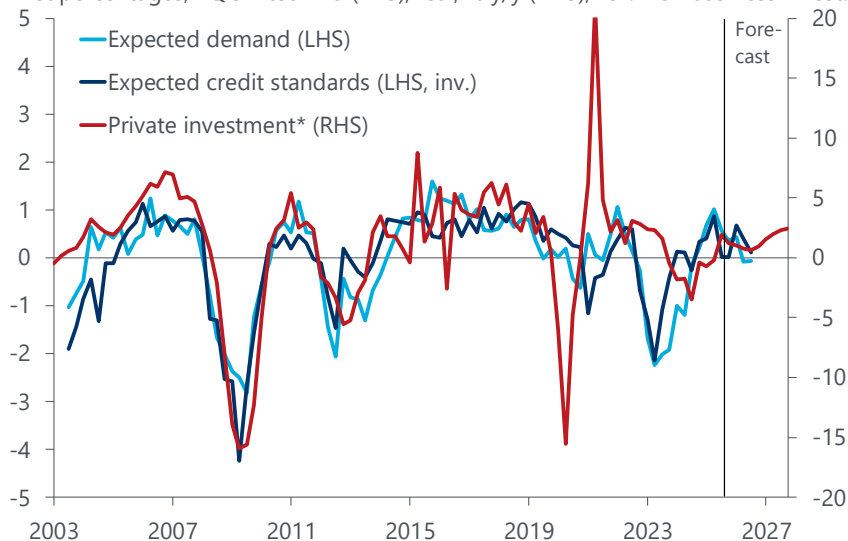
The first ECB meeting of the year clearly sent a "steady-as-she-goes" message. The council unanimously agreed to keep policy unchanged and neither the policy statement nor ECB president Christine Lagarde offered any clues as to a possible policy change down the line, as none of the recent data had significantly shifted the central bank's view that inflation is set to converge to its 2% target. The central bank remains firmly stuck to its data-dependent, meeting-by-meeting policy approach. Lagarde also added some colour on the ECB's risk assessment for growth and inflation calling them broadly balanced.

This was in line with our meeting [preview](#), so we see no reason to adjust our baseline view that the ECB will look through the mild undershoot of inflation this year, keeping policy unchanged for the foreseeable future.

Chart 1: Bank lending survey points to soft investment outlook

Eurozone: ECB bank lending survey and investment growth

Net percentages, 2Q shifted fwd (LHS); real, % y/y (RHS), *ex. Irish business invest.



Sources: Oxford Economics, Haver Analytics

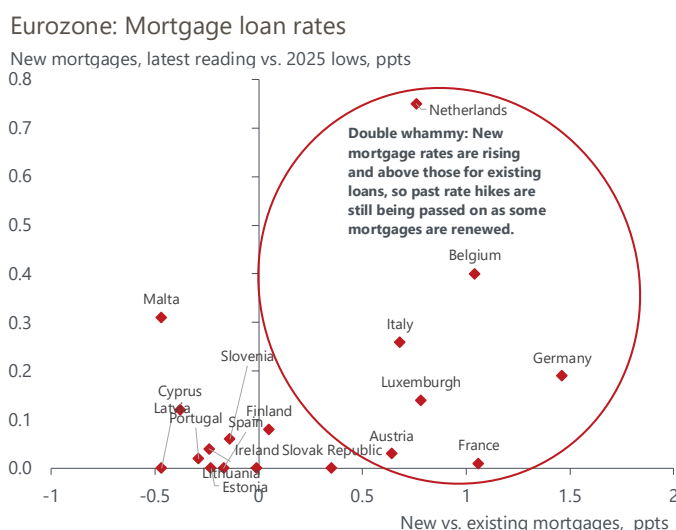
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As we had expected, the council focused on the positive growth signals despite the tariff and geopolitical uncertainty. The ECB president mentioned the latest GDP report, further falls in unemployment and the resilience of manufacturing. The pickup in construction on the back of past rate cuts and expected gains in infrastructure and defence spending were also mentioned. Combined with today's strong factory orders report from Germany on the back of new defence contracts, the ECB will feel validated and have more confidence in the upwardly revised growth outlook published in December.

We remain more cautious. For instance, there seems to be a bit of cherry picking when it comes to the investment outlook. The ECB [bank lending survey](#) was rather underwhelming (**Chart 1**), pointing to risks of softening private investment, which historically would have raised more concerns among policymakers. Gains in German capital goods orders received from other eurozone countries also softened in recent months and are a decent leading indicator for equipment investment. And the ECB's assessment that past rate cuts are still feeding through to the economy looks optimistic in our view, given that rising term premia are pushing loan rates up in many countries (**Chart 2**). Instead, Lagarde focused on the more positive message on AI-related investment from the ECB's less well-established corporate telephone survey, while our work on [data centre investment](#) is more cautious.

However, none of these factors seems large or immediate enough to affect the ECB's forecast revision in March, so we don't think that disappointing growth is a likely trigger for additional policy easing soon. In fact, the upside surprise to our Q4 GDP estimate will result in a small upgrade to this year's forecast due to a stronger starting base into 2026 and slightly higher growth in Q1 this year.

Chart 2: Mortgage rates are rising significantly in countries typically relying on long loan maturities



Sources: Oxford Economics, Haver Analytics

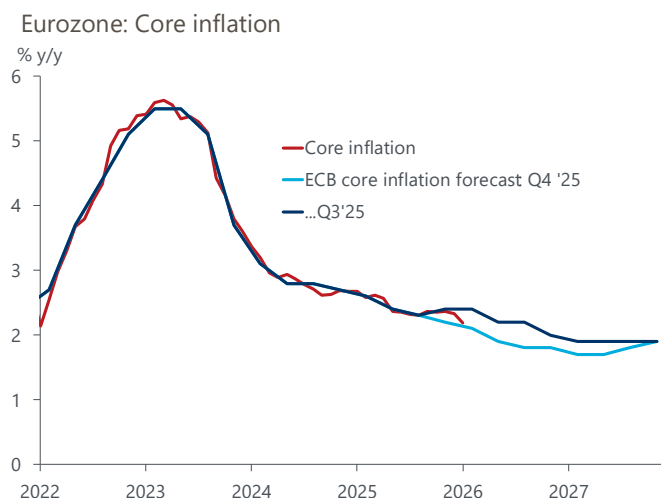
We think inflation falling short of both the ECB's forecast and the 2% target is a more likely trigger for a policy response. But even here the hurdles are high. Inflation dropped sharply in January to 1.7%, well below the ECB'S Q1 forecast of 1.9%. Much of that was energy related. But core inflation also eased significantly, which is a more notable dynamic given the ECB's current focus on underlying price pressures. Lagarde tried to dismiss this as just one month and pointed to some one-offs, likely meaning the extended discount period in France, that weighed heavily on inflation there. We would tend to agree. Corporate surveys are also pointing towards steady price gains rather than significant undershoots.

In that context, the recent appreciation of the euro was raised by several journalists, but Lagarde largely dismissed the issue. She argued that the exchange rate is broadly in line with its historic average, and that it was only a brief spike towards 1.20 with the currency depreciating again more recently. But even if the euro were to rise a little again and weigh on inflation projections, this wouldn't necessarily imply a policy response. Lagarde mentioned that the ECB's inflation forecasts were noticeably lower in September and that hadn't triggered a response then despite large downside risks to growth (**Chart 3**). In other words, the upcoming new projections in March would probably need to show a low point for core inflation below 1.7%

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to trigger a policy discussion, as the ECB would likely not want to ease policy just as Germany's fiscal easing is gaining increasing traction.

Chart 3: Core inflation surprised ECB to the downside in January, but one-offs played a role



Sources: Oxford Economics, Haver Analytics

Maybe the one slightly dovish comment by Lagarde was that policy was "in good shape because it is agile and it is prepared to do what is necessary in order to reach our medium term 2% targets in a symmetric way". But we didn't get the impression that this was meant as a nod towards a certain policy direction, but rather a restatement of the ECB's ability to act, should circumstances require.

Overall, today's ECB meeting was as uneventful as expected and offered no hints that a change in policy is on the horizon. The February inflation print and corporate surveys as well as the exchange rate are likely the key gauges to check for any emerging risks of a policy change. But as we have highlighted before, the bar to more rate cuts is probably fairly high.